

Oxford Cambridge and RSA

PREDICTED PAPER – for revision use

GCSE (9–1) Economics
J205/01 Introduction to Economics
Predicted Paper 1 – Moderate Mark Scheme
Mark Scheme

This mark scheme follows the style of OCR GCSE Economics J205/01. Marks are allocated against the assessment objectives: AO1a (recall), AO1b (understanding), AO2 (application), AO3a (analysis) and AO3b (evaluation). Six-mark questions are marked using three levels.

How to use levels of response

- a. To determine the level — start at the highest level and work down until you reach the level that matches the answer.
- b. To determine the mark within the level:
 - On the borderline of this level and the one below — at the bottom of the level
 - Just enough achievement for this level — above the bottom of the level
 - Meets the criteria with slight inconsistency — middle/above middle of the level
 - Consistently meets the criteria for this level — at the top of the level

SECTION A — Multiple Choice

1 mark per question. No mark is awarded for contradictory or multiple answers.

Question	Key	AO	Quantitative skills
1	B	AO1a	
2	C	AO1a	
3	A	AO1b	
4	C	AO2	Yes
5	D	AO1b	
6	B	AO1a	
7	B	AO2	
8	A	AO2	Yes
9	B	AO1b	
10	B	AO1a	
11	B	AO1b	
12	B	AO2	
13	B	AO2	
14	C	AO1b	
15	C	AO1b	
16	B	AO1b	
17	C	AO2	Yes
18	B	AO1b	
19	B	AO1b	
20	A	AO2	

SECTION B — Extended Response

Question 21 — The coffee market

Question	Answer	Mark	Guidance
21 (a)	Explain what is meant by demand. The willingness and ability of consumers to buy a good or service at a given price in a given time period.	2 AO1 a	Award 2 marks for a clear explanation including willingness and ability AND reference to price/time period. Award 1 mark for a partial answer (e.g. just 'how much consumers want to buy').
21 (b)	Explain how an oligopoly, such as the UK retail coffee market, differs from a competitive market. An oligopoly is dominated by a few large firms which have market power and can influence price. A competitive market has many firms, each with little or no influence on price. Firms in an oligopoly may also engage in collusion or non-price competition whereas firms in a competitive market tend to be price takers.	2 AO1 b	Award 2 marks for a clear difference made between oligopoly and a competitive market. Award 1 mark for a correct statement about oligopoly only.
21 (c)	Using a diagram, analyse the effect of poor harvests in Brazil on the world market for coffee. Points may include: poor harvests reduce the supply of coffee beans, shifting the supply curve to the left (from S to S1). At the original price there is excess demand. This forces the price up from P to P1 and the equilibrium quantity falls from Q to Q1. Because demand is price inelastic, the price rise is relatively large for a given fall in supply. Diagram: S shifting left to S1, original demand curve D downward sloping, showing price rises from P to P1 and quantity falls from Q to Q1.	6 AO1 a/ AO2 / AO3 a	Levels-based (see general level descriptors). Maximum 4 marks if no correct diagram. Level 3 (5–6 marks) Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. Level 2 (3–4 marks) Reasonable knowledge and

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			understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. Level 1 (1–2 marks) Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. 0 marks No work worthy of credit.
21 (d)(i)	Using Extract 1, explain why demand for coffee is price inelastic. Extract states that consumers view coffee as a daily necessity and are willing to pay higher prices. Necessities tend to have few close substitutes and consumers continue to buy similar quantities when prices rise, so quantity demanded changes by a smaller percentage than price.	2 AO2	Award 2 marks for a clear explanation applied to the extract (necessity/habit plus link to inelastic demand). Award 1 mark for a correct theoretical point without applying to the extract.
21 (d)(ii)	Explain one reason why smaller independent coffee shops must react to the pricing decisions of the large chains. The large chains have significant market power and can set prices that attract customers. If small shops charge much more, they risk losing customers; if they do not match competitive offers, they may be forced out of business.	2 AO2	Award 2 marks for a developed reason linked to competitive pressure and the smaller firm's survival/market share. Award 1 mark for identifying an effect without development.
21 (d) (iii)*	Evaluate the importance of price elasticity of demand for coffee for consumers. For: PED matters because it tells consumers how much their spending will change when	6 AO2 / AO3 a/	Levels-based. Reward evaluation that weighs arguments for and against and reaches a supported judgement.

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	prices rise. If demand is inelastic, consumers will spend more on coffee when prices rise, leaving less for other goods. Knowing this can help them plan budgets. Consumers could try to change their habits (e.g. drinking coffee at home) to make their demand more elastic. Against: Most consumers don't calculate PED. The importance depends on income (low-income consumers are more affected), how strongly they value coffee, and whether close substitutes such as tea are acceptable. If price rises are small and temporary, PED is less important than if they are large and sustained. Judgement: PED is important for consumers whose spending is tight, but for many its practical importance is limited because they adjust habits rather than calculating elasticity.	AO3 b	Level 3 (5–6 marks) Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. Level 2 (3–4 marks) Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. Level 1 (1–2 marks) Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. 0 marks No work worthy of credit.

Question 22 — A local bakery

Question	Answer	Mark	Guidance
22 (a)	Explain what is meant by division of labour. Production is broken down into separate tasks, with different workers specialising in different parts of the process.	2 AO1 a	Award 2 marks for a clear explanation that includes both tasks being divided up AND specialisation. Award 1 mark if reference to either element is missing.
22 (b)	Calculate the weekly profit Jamie will make on the order of 200 loaves. Revenue = $200 \times £1.50 = £300$ Total cost = $£50 + £120 + £80 = £250$ Profit = $£300 - £250 = £50$	2 AO2	Correct answer of £50 (with or without working) = 2 marks. Award 1 mark for correct revenue or correct total cost. OFR applies if one figure is incorrect but profit is calculated correctly from that figure.
22 (c)	Analyse the advantages for Jamie of her business making a profit. Points may include: profit allows Jamie to stay in business and cover her costs; it can be reinvested to buy better equipment or ingredients, improving the quality of the bakery's output; profit is a reward for her enterprise and risk-taking; a profitable business is more likely to obtain further loans from a bank; profit can support expansion (e.g. hiring more staff, opening another shop); profit attracts scarce resources into her bakery because the business looks successful.	6 AO1 a/ AO2 / AO3 a	Levels-based. Reward developed chains of reasoning with contextual reference to the bakery. Level 3 (5–6 marks) Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. Level 2 (3–4 marks) Reasonable knowledge and understanding. Limited to reasonable application with

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			some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. Level 1 (1–2 marks) Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. 0 marks No work worthy of credit.
22 (d)(i)	Explain why Jamie's bakery is part of the product market. The product market is where firms sell goods and services to consumers and other buyers. Jamie's bakery sells finished loaves of bread to a café chain — a final good supplied by a firm — so it is operating in the product market.	2 AO1 b	Award 2 marks for a clear explanation of product market linked to Jamie's bakery. Award 1 mark for a correct general definition without link.
22 (d)(ii)	Draw and label a diagram showing the likely change in supply if Jamie decides to expand production. Supply curve shifting to the right (from S to S1). Axes: Price on y-axis, Quantity on x-axis.	2 AO2	Award 2 marks for two correctly labelled supply curves with shift to the right. Award 1 mark if only one supply curve is correctly drawn and labelled, or if the shift is to the left. No marks for an unlabelled or upward-sloping line.
22 (d)(iii)*	Evaluate the benefits of Jamie of using division of labour in her bakery. For: division of labour lets Jamie and her assistant specialise in tasks they are each best at, which raises productivity and reduces time spent switching tasks. This could lower unit costs and raise profit.	6 AO2 / AO3 a/ AO3 b	Levels-based. Reward a clearly reasoned judgement supported by both sides. Level 3 (5–6 marks) Good knowledge and

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	Specialisation can also improve quality as each worker becomes more skilled at a particular task. Against: with only two workers, the gains from division of labour may be small. It may make work repetitive and reduce job satisfaction, affecting motivation or leading to errors. The bakery could also become vulnerable if the assistant is unwell because Jamie may not be able to cover the specialised tasks. Judgement: in a small bakery the benefits are likely to be real but modest; division of labour is most valuable when combined with clear training and some flexibility so one worker can cover another's role.		understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. Level 2 (3–4 marks) Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. Level 1 (1–2 marks) Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. 0 marks No work worthy of credit.

Question 23 — A clothing retailer

Question	Answer	Mark	Guidance
23 (a)	Explain, using an example, what is meant by the rate of interest. The rate of interest is the cost of borrowing money, or the reward for saving, expressed as a percentage of the amount borrowed or saved. For example, a 5% interest rate on a £1,000 loan means £50 of interest is paid each year.	2 AO1 a	Award 1 mark for a correct definition (cost of borrowing / reward for saving as a percentage). Award 1 mark for a correct example.
23 (b)	Draw and label a diagram showing the likely effect on the demand curve for Ravi's shop of a new, larger rival opening nearby. Demand curve shifts to the left (from D to D1), showing lower demand at each price.	2 AO1 b	Award 2 marks for two correctly labelled demand curves with a leftward shift. Award 1 mark if only one demand curve is correctly drawn, or if shift is to the right.
23 (c)	Using a diagram, analyse the consequences for Ravi of a fall in the demand for his clothing. A fall in demand shifts the demand curve to the left (D to D1). At the original price there is excess supply. The equilibrium price falls from P to P1 and quantity falls from Q to Q1. Ravi will sell fewer clothes at a lower price, reducing total revenue. If his costs do not fall by as much, profit will also fall. He may respond by cutting prices further, holding sales, or reducing stock.	6 AO1 a/ AO2 / AO3 a	Levels-based. Maximum 4 marks without a correct diagram. Level 3 (5–6 marks) Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. Level 2 (3–4 marks) Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that

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			address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. Level 1 (1–2 marks) Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. 0 marks No work worthy of credit.
23 (d)(i)	Calculate Ravi's new monthly interest payment after the interest rate has increased to 6.5%. Annual interest = £200,000 × 6.5% = £13,000 Monthly interest = £13,000 ÷ 12 = £1,083.33	2 AO2	Correct answer of £1,083.33 (accept £1,083 or £1083.34) = 2 marks. Award 1 mark for correct annual interest only. OFR applies.
23 (d)(ii)	Explain the opportunity cost to Ravi of repaying his loan early rather than using that money to refurbish his shop. Opportunity cost is the next best alternative given up. If Ravi uses the money to repay the loan, he gives up the chance to refurbish the shop. The refurbishment could have attracted more customers and raised sales, so the opportunity cost is the additional revenue and profit he forgoes.	2 AO2	Award 2 marks for a clear explanation of opportunity cost applied to the scenario. Award 1 mark for a theoretical answer only.
23 (d)(iii)*	Evaluate the benefits to Ravi of specialising in one type of clothing, such as sportswear. For: specialisation could help Ravi build a reputation in a niche where he has less competition from the new, larger rival. A specialised shop may have higher-quality stock, more knowledgeable staff, and a stronger brand, which can make demand more inelastic and allow higher prices. Stock control and buying are simpler when the range is narrower, reducing costs.	6 AO2 / AO3 a/ AO3 b	Levels-based. Reward a supported judgement weighing both sides. Level 3 (5–6 marks) Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with

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	Against: specialisation makes Ravi more dependent on one market. If the sportswear market weakens, he has few alternative revenue streams. He may lose existing customers who want general clothing. Switching stock is costly in the short run. Judgement: specialisation is likely to be beneficial if there is strong local demand for sportswear and few specialist competitors, but risky if the market is narrow or unstable — so Ravi should research demand before fully committing.		developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. Level 2 (3–4 marks) Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. Level 1 (1–2 marks) Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. 0 marks No work worthy of credit.

Assessment Objective Grid

The paper totals 80 marks across Section A (20 marks, one mark each) and Section B (60 marks). Each question in Section B is worth 20 marks. Total marks are distributed approximately as follows:

- AO1a (Knowledge / recall): approx. 12 marks
- AO1b (Understanding): approx. 16 marks
- AO2 (Application): approx. 28 marks
- AO3a (Analysis): approx. 15 marks
- AO3b (Evaluation): approx. 9 marks

Quantitative skills are tested in approximately 8 marks across the paper.

END OF MARK SCHEME